

agreement in place. At the maturity date, you receive your initial investment back as well. It's commonly referred to as an “I owe you” investment.

There are other more complex asset types like futures, options, and swaps (also known as derivatives) that are typically traded in the stock market by financial institutions, financial professionals, and advanced traders.

Did I hear you say “*deriva-what?*” I thought so! I only mention them as an FYI because it's good to have an idea of what else can be traded in the stock market. However, from the perspective of being a clever girl investor building long-term wealth and as it relates to this book, you don't need to worry about them. It's just good to know they exist. We'll be delving into stocks and bonds in more detail later on.

Now that you know what the stock market is, let's talk about stock exchanges. While terms like *stock market* and *stock exchange* are commonly used as one and the same thing, they are slightly different. The stock market, as described earlier, is more of a general, overarching term referring to the entire buying and selling market of stocks, bonds, and other asset types. Stock exchanges are more specifically the actual infrastructure set up to support these trades when they happen. Stocks, bonds, and other asset types are listed for sale and purchase on the stock exchange. Multiple different stock exchanges exist, domestically and internationally.

STOCK EXCHANGES IN THE UNITED STATES

In the United States, there are three main stock exchanges that you've probably heard about in the media or in passing conversation:

1. The New York Stock Exchange, commonly referred to as the NYSE (and also the world's largest stock exchange^{[1](#)})
2. The National Association of Securities Dealers Automated Quotation System, commonly referred to as the NASDAQ
3. The NYSE American, formerly known as the American Stock Exchange or AMEX